Question 1

Inventories - Batcat plc

You are the newly appointed financial controller of Batcat plc (Batcat). The main business activity of Batcat is the manufacture of products. You are completing your work on inventories for inclusion in the company's financial statements for the year ended 31 July 20X9, which are prepared in accordance with IFRS® Accounting Standards.

Details of the outstanding matters relating to inventory are included in the Appendix.

Required:

Advise on the accounting required for the inventories matters in Appendix 1 for the year ended 31 July 20X9 and prepare, showing all workings, any necessary journal entries.

(16 marks)

Total marks (16 marks)

Appendix

Details of outstanding matters related to inventories

1. Closing inventory of finished goods totaling £1,922,000 has been included in the draft statement of financial position as at 31 July 20X9.
2. Excluded from the closing inventory of finished goods were 690 units of Product B, all of which were produced in July 20X9. Actual production of Product B in the month of July 20X9 was 3,200 units, although normal average monthly production is 3,500 units.
3. The following costs relating to Product B were incurred in July 20X9 and were included within Batcat's cost of sales:

	£'000
Raw materials	1,257
Direct wages	563
Power costs	260
Administrative expenses	140
Rent of factory	75

4. Other information relevant to Product B:
   - 90% of power costs vary directly with production. The remaining 10% relates to general administrative functions.
   - 45% of administrative expenses are classified as 'production administrative expenses' which vary directly with production. The remaining 55% relates to general administrative functions.
   - Depreciation of plant and machinery directly involved in the production totaled £43,000 for the month of July.
   - All general administrative expenses, rent and depreciation are fixed costs, together with 40% of production administrative expenses.
   - All other costs are variable with the level of production.

   In addition, selling expenses of £216,000 were incurred in relation to the 4,000 units sold in July.

   Product B's selling price is £725 per unit.

Question 2

Inventories - Bridges plc

You are the financial controller of Bridges Builders plc (Bridges). Bridges manufactures toolboxes and ladders. You are preparing the financial statements for the year ended 30 April 20X3, in accordance with IFRS® Accounting Standards and are still to deal with a number of inventories measurement issues.

Details of certain inventories held in Bridges' factory are set out in the Appendix.

Required:

Advise, showing all workings, how the inventories in the Appendix would be measured as at 30 April 20X3.

(15 marks)

Appendix

Inventories held as at 30 April 20X3

At 30 April 20X3, there were 300 toolboxes and 200 ladders in inventories. The toolboxes came from a manufacturing batch of 1,000 toolboxes and the ladders from a batch of 500 ladders. Relevant cost information for these batches is as follows:

	Toolboxes £/batch	**Ladders £/batch**
Materials	600	500
Production overhead (£3 per £1 of material)	1,800	1,500
Labour	3,500	2,000
General administration (£1 per £1 of labour)	3,500	2,000

The sales prices for toolboxes and ladders are £8 and £15 respectively.

Due to a cutting fault, the number of materials used in this batch of toolboxes was twice what it should have been and 20% of the labour was wasted, as it was incurred before the problem was spotted.

There were no problems with the batch of ladders.

Question 3

PPE - Nuclear Chips plc

You are the financial controller of Nuclear Chips plc (Nuclear). You are preparing the financial statements for the year ended 31 December 20X4, in accordance with IFRS® Accounting Standards.

Nuclear has undertaken a review of depreciation at 31 December 20X4 and a number of issues have arisen. Further details of the review are provided in the Appendix.

The directors would like to understand any accounting or disclosure requirements that arise as a result of the issues.

Required:

1. Advise how the depreciation issues in the Appendix would impact on the accounting treatment and disclosure requirements relating to property, plant and equipment for the year ended 31 December 20X4.

(10 marks)

2. Advise, with reference to the ICAS fundamental ethical principles, any ethical issues that arise from the proposed changes.

(4 marks)

Total marks (14 marks)

Appendix

Depreciation issues

The property, plant and equipment accounting policy note from the 20X3 accounts is presented as follows:

- Property, plant and equipment is measured at historic cost less accumulated depreciation and impairment.
- Depreciation is charged so as to write down the cost of assets to their estimated residual values over their remaining useful lives on a straight-line basis. Estimated useful lives and residual values are reviewed at least annually.
- Estimated useful lives are summarised as follows:
  - Properties: 50 years
  - Plant and equipment: 15 – 25 years

The following issues have arisen during the review.

1. The new finance director, who is a Chartered Accountant, has questioned why the current depreciation policy depreciates all assets on the straight-line basis. A detailed profile of sales patterns has been generated this year as part of an analysis of revenue streams and the finance director would like to utilise this pattern as the new depreciation method for all production plantand equipment. This will reduce the depreciation charge in the current year.

2. During the review of plant and equipment, it has become evident that the estimated residual values are too high and that the assets are likely to be sold for minimal scrap value. The finance directorhas stated that this isn't important as the assets won't be sold for a few years.

   The finance director has asked for your support in implementing any changes as a result of the review and has stated that the board does not need to understand the details of any change. You are aware that a bonus is paid to directors based on achieving a target net profit.

Question 4

PPE and investment properties - Column Properties Ltd

Column Properties Ltd (Column) prepares its financial statements in accordance with IFRS® Accounting Standards. It has two properties at its year end of 31 January 20X5, details of which are included in the Appendix. Column invests in properties as a main business activity.

Column measures investment properties at fair value as permitted by IAS 40 Investment Properties. Where no reliable fair values can be obtained on a continuing basis, properties are measured at cost and are depreciated using the straight-line basis over their estimated useful life, monthly.

Column applies the cost model under IAS 16 Property, Plant and Equipment. The accounting policy for the depreciation of buildings is 2% straight line.

Required:

Advise, showing all workings, on how each of the properties should be accounted for in the financial statements for the year ended 31 January 20X5.

(7 marks)

Appendix

Property portfolio

Property X

Property X was acquired with the intention of capitalising on a favourable purchase price, having bought the property at auction for £4,500,000 in December 20X4. Stamp duty and other acquisition costs totalled £250,000. The fair value of the property at 31 January 20X5 equalled £4,900,000. The estimated useful life was 25 years at the date of purchase.

Property Z

Property Z was acquired 2 years ago for £7,200,000 and has an estimated useful life of 50 years. The property was always intended to be multi-purpose, serving as a head office for Column and with a number of leased serviced office units. On completion of the purchase, it was decided to continue with the multi-purpose plan but instead of a full head office facility, all head office staff were made home workers and only a server room is now used by Column inside of Property Z. The remaining space is leased to tenants.

At 31 January 20X4, the fair value is considered by the directors to be the same as the original cost.

Question 5

Intangible assets - Cruickshank Ltd

Cruickshank Ltd (Cruickshank) is preparing its financial statements for the year ended 31 December 20X6, in accordance with IFRS® Accounting Standards.

Cruickshank operates in a diverse range of industries but does not invest in assets or provide financing as a main business activity. You need to consider a number of intangible assets. Further information is included in the Appendix.

Required:

Advise, showing all workings how the intangible assets in the Appendix should be accounted for in the year ended 31 December 20X6, and prepare any journal entries necessary.

(18 marks)

Appendix

Further information

Accounting policies

All amortisation is on a straight-line basis over the following useful lives:

- Quotas – 20 years
- Brands – 20 years
- Other – remaining useful economic life when acquired.

Amortisation is calculated automatically by the computerized accounting system and is presented separately in the statement of financial position.

Intangible assets for which there is an active market are revalued annually.

Quota

Cruickshank bought a fishing quota to catch 1,000 tonnes of fish for £1,000 per tonne on 1 March 20X6. The market value for the quota, for which there is an active market, was £1,400 per tonne on 31 December 20X6. The amount paid has been expensed in general and administrative expenses.

Licence

Cruickshank acquired an operating licence for £500,000 on 1 July 20X6 to operate bus routes for the next 8 years. Payment of £400,000 was made on 1 July 20X6. The amount paid has been expensed in general and administrative expenses for the year. A further £100,000 is payable on 1 January 20X7.

Domain names

Cruickshank acquired a new domain name on 1 January 20X6 for £10,000. The domain name is expected to generate benefits over the next 8 years.

The domain name has generated revenue for Cruickshank from the first day of its launch. It replaces an old domain name that originally cost £4,000 in July 20X3. The old domain name was originally assessed to have had a useful life of 5 years.

No amortisation has been charged on either domain name in the year. The amount paid has been accounted for as a general and administrative expense in the period.

Question 6

Intangible assets - Ceylon plc

Ceylon plc (Ceylon) manufactures pottery and specialises in hand-crafted teapots.

You are preparing the financial statements for the year ended 31 December 20X5, using IFRS® Accounting Standards.

Ceylon has many intangible assets included within its financial statements. Details of intangible assets are included in the Appendix.

Required:

1. Advise, showing all workings, how to account for the intangible assets in the Appendix for the year ended 31 December 20X5.

(10 marks)

2. Construct extracts from the notes to the financial statements in respect of intangible assets at 31 December 20X5.

(4 marks)

Total marks (14 marks)

Appendix

Details of intangible assets

Accounting policies

- Ceylon amortises intangible assets on a straight-line basis over their useful lives, except for brands, which are amortised over 20 years.
- A full month's amortisation is charged in the month of purchase and none in the month of disposal.

Brand

Ceylon has built up a good reputation in the last few years and the directors wish to include the estimated £1,000,000 value of the brand name on the statement of financial position at 31 December 20X5.

Research and development - safety spout

- Ceylon has been developing a new safety spout since 20X3 and had already incurred and written off £32,000 by the start of the current year.
- A further £20,000 was spent from January to May 20X5 to finalise a prototype for the spout and to take the spout to various trade shows.
- In June 20X5, Ceylon received confirmation from a major retailer that is interested in the spout. The directors of Ceylon believed the spout to be economically viable and confirmed their intention to launch the product following the confirmation of interest.

Since June, Ceylon has spent a further £78,000 on refining the production process and testing the spout before it is launched on 1 December 20X5.

The annual depreciation charge on plant and machinery that was used in the development of the spout in the year amounted to £22,000.

All costs incurred in the year have been written off to general and administrative expenses in the period. It is expected that the useful life of the spout will be 3 years.

Research and development - eco-friendly teapot

Research into new materials has been carried out that would allow Ceylon to manufacture new 'eco-friendly' teapots. Ceylon has spent £17,000 on sourcing relevant materials and testing them in the production process. Ceylon hopes that the development of a prototype can take place in early 20X6. No analysis has taken place as to whether a market exists for this product. Ceylon has included the expenditure as accrued income, on the basis that it expects to earn positive returns on this in the future

Question 7

Borrowing costs - Safety Critical E-learning plc

You are the finance manager of Safety Critical E-Learning plc (Safety), a company which specialises in creating e-learning courses. Safety is investing in a new delivery platform for its e-learning courses, using debt finance to fund the development phase of this. Safety prepares its financial statements in accordance with IFRS® Accounting Standards.

During the year ended 30 June 20X2, Safety has incurred loan interest. Relevant information is in the Appendix.

Required:

1. Advise, showing all workings, how much (if any) of the loan interest incurred by Safety in the year ended 30 June 20X2 could be capitalised as part of the cost of the e-learning courses.

(8 marks)

2. Advise Safety of the relevant disclosure requirements for the year ended 30 June 20X2.

(1 mark)

Total marks (9 marks)

Appendix Loan interest

The research phase of the new delivery platform ended on 30 September 20X1, and the coding (or development) phase commenced immediately and will take 2 full years to complete. The development phase meets the criteria for capitalisation under IAS 38 Intangible Assets.

On 1 October 20X1, Safety drew down a 2-year 5.5% term loan of £1,800,000 specifically to fund the development of the platform. Interest is to be paid annually in arrears. However, due to a cyberattack on 1 January 20X2, all development ceased for 2 months as a precaution, finally restarting on 1 March 20X2. Safety received £30,000 interest on the unused sums of the term loan in the period from drawdown to 30 June 20X2.

Question 8

Impairment of non-current assets - Zeltec plc

Zeltec plc (Zeltec) has 800 hectares of land with an indefinite useful life. Its cost was £4,400,000. The required rate of return is 7%. The main business activity of Zeltec is farming,

During the year, there has been a severe downturn in the farming industry due to a reduction in government subsidies and, as a result, an increased proportion of crops have been sourced from overseas.

The land has generated annual cash flows of £400 per hectare. Annual cash flows are falling to £350 per hectare and are expected to remain at that level for the next 5 years, commencing on 1 July 20X1. There is no indication that cash flows will change after 5 years. Valuation experts recently estimated that the land would realise £4,800 per hectare on sale. Costs of disposal are estimated to be £100,000.

Required:

1. Advise, showing all workings, whether an impairment has occurred and, if so, how the impairment should be accounted for in the financial statements for the year ended 30 June 20X1.

(6 marks)

2. Construct an extract of the narrative disclosures for property, plant and equipment that will be required if an impairment is considered to be necessary.

(3 marks)

Total marks (9 marks)

Question 9

Impairment of CGU - Meeseeks Ltd

Meeseeks Ltd (Meeseeks) runs a successful leisure facility, which has a golf training academy and a driving range. These are treated as separate divisions of the business. Due to a recent flood, the directors feel that some of the assets in each of the divisions may need to be impaired.

Information on the non-current assets of each division is included in the Appendix.

All non-current assets are held at historical cost less accumulated depreciation or amortisation.

Required:

Advise, showing all workings, how the potential impairments in the Appendix should be accounted for in the year ended 31 December 20X4.

(17 marks)

Appendix

Information on non-current assets

Carrying amounts at 31 December 20X4

	Training academy £'000	Driving range £'000
Property, plant and equipment	2,250	750
Intangible assets	600	150
Allocated non-current assets	2,850	900

None of the individual non-current assets generate cash flows independently from the rest of the non-current assets in the division.

The directors have determined the fair values less costs of disposal (FVLCOD) for each group of tangible non-current assets as at 31 December 20X4. The directors have been unable to allocate FVLCOD to individual assets within each classification, unless otherwise stated.

Any impairment loss is considered to be material and must be presented separately in the statement of profit or loss.

Training academy

	Carrying Amount at 31 December 20X4 £'000	FVLCOD at 31 December 20X4 £'000
Properties	1,400	
Fixtures and fittings	500	
Other tangible non-current assets	350	
Total	2,250	1,470

Driving range

Land and property	750	900

Intangible assets

The intangible assets in both divisions relate to licences which allow Meeseeks to use golfers' images and names in its advertising campaigns.

The driving range division has one licence only, which the board has decided to sell as soon as contractual issues are resolved. Meeseeks will continue to benefit from the rights associated with the licence until it is disposed of, although cash flows from its continuing use are expected to be negligible. The carrying amount of the licence at 31 December 20X4 is £150,000 and the board estimates that it can be sold for £45,000. Legal fees to complete the transaction are expected to be £5,000.

The fair value less costs of disposal of the licence in the training academy division is deemed to be £700,000 at 31 December 20X4. There are no plans to sell the licence.

Value in use

The value in use of the training academy has been correctly calculated as £2,157,000 and the driving range as £930,000.

Question 10

Held for sale assets - Kizys plc

Kizys plc (Kizys) prepares its financial statements in accordance with IFRS® Accounting Standards. It is preparing its financial statements for the year ended 31 December 20X4.

Kizys operates in three separate divisions – fibre optics, cable TV and internet services. None of the assets in any of the divisions had previously been impaired. Relevant information relating to the fibre optics division is included in the Appendix.

Required:

1. Advise, showing all workings, on the accounting treatment in relation to the disposal of the fibre optics division for the years ended 31 December 20X4 and 20X5 and prepare the necessary journal entries.

(14 marks)

2. Construct the disclosure requirements in relation to assets held for sale and advise of any other related disclosures as at 31 December 20X4.

(4 marks)

Total marks (18 marks)

Appendix

Fibre optics division

The fibre optics division, although previously Kizys's biggest division, has been struggling for several years and a decision was made by the board on 31 March 20X4 to sell the entire division. A plan was drawn up and a programme to locate a buyer for the division was started on 1 June 20X4. Interest in the division is expected to be high and the asking price is consistent with the estimated fair value of the division. The board hopes to generate a quick sale. At 1 June 20X4, the assets of the division had a carrying amount of £15,800,000. The directors estimated that the assets of the division had a fair value of £15,600,000, with selling costs of £200,000.

At 31 December 20X4, the year end of Kizys, the estimated fair value of the net assets less costs to sell was £16,300,000. Selling costs are deemed to relate to the assets of the division only.

The division was sold on 1 April 20X5 for £18,700,000, net of selling costs.

Question 11

Impairment of CGUs - Dunk plc

You are the financial controller of Dunk plc (Dunk) and are completing the financial statements for the year ended 31 October 20X2, in accordance with IFRS® Accounting Standards.

Details of an outstanding matter relating to potential impairment are in the Appendix.

Required:

Calculate, showing all workings and preparing any necessary journal entries, the impairment loss for the year ended 31 October 20X2.

(8 marks)

Appendix

Details of outstanding matters relating to impairment

Dunk operates across several different divisions. Although none of the divisions have previously been impaired, evidence now suggests that the assets of three of these divisions (Divisions E, F and G) may be impaired and an impairment review is to be undertaken. Divisions E, F and G are considered cash-generating units.

Information in relation to the property, plant and equipment (PPE) and the intangible assets of these divisions are as follows:

		E	F	G	Total
	Assets	**£'000**	**£'000**	**£'000**	**£'000**
Carrying amount	PPE	304	389	178	871
	Intangible assets	90	-	-	90
		394	389	178	961
Fair value	Division assets	400	440	180	1,020
	Year ended				
Value in use		354	390	148	

- The intangible asset in Division E relates to a patent which has an estimated fair value less costs of disposal of £88,000. It has not been possible to estimate the value in use for the patent.
- None of the other individual non-current assets generate cash flows independently from the rest of the non-current assets in the division.
- In addition to the carrying amount of non-current assets allocated to each division, there is goodwill of £85,000 which cannot be split between the three divisions. It is estimated that the combined recoverable amount of each cash generating unit is £980,000.
- Costs of disposal are estimated to be 10% of fair value for each division.
- Any impairment loss is considered to be material and must be presented separately.